Fair Trade Commission

Korea Fair Trade Commission to Build AI Platform to Prevent Unfair Subcontracting Practices

– Commission to Use AI to Drive Innovation in Subcontract Agreements, From Contract Drafting to Penalty Alleviation Reviews –

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The Korea Fair Trade Commission (KFTC, Chairperson Biung-Ghi Ju) announced that it will establish an "**AI-Based Platform to Support Fair Subcontracting**" in order to reduce unfair practices and disputes that may arise during the subcontracting process by using **artificial intelligence (AI) technology**.

The project has been selected for the Ministry of Science and ICT's "**2025 Inter-Ministerial AX Program**." The government will invest a total of **KRW 1.8 billion** of budget, with the **goal of launching the project by the end of 2026**.

Although the KFTC has enacted and implemented "**Industry-Specific Standard Subcontract Agreements**" to support **fair deals** between prime contractors and subcontractors, which incorporate concrete fair-trade compliance requirements, **disputed related to subcontracting** have continued in practice. As a result, there has been growing demand for **structural improvements** to address these issues.

To meet this demand, the KFTC announced plans to launch a new project that **applies AI technology** to the drafting and review process of subcontract agreements. The platform will **identify potential unfair practices early in the subcontracting process,** prevent related disputes, and help foster a fair subcontracting culture.

Key components of the project include integrated support through a platform for fair subcontracting, such as: 1) **Generative-AI–based subcontract drafts**; 2) **Support for reviews to reduce penalty points imposed on businesses for violations of the Subcontract Act**; and 3) **Shared AI services for fair subcontracting**.

First, once **basic contract information of a subcontract**—such as the contract title and amount—is provided, the **AI, trained on industry-specific standard subcontracts and previous KFTC decisions,** will generate a draft agreement. Then, the platform will allow prime contractors and subcontractors to review the AI-generated draft online and execute the contract with an electronic signature.

Second, to support **applications for penalty point reduction**, the AI will **automatically verify** whether the **thousands, or even tens of thousands, of contracts** submitted to the KFTC **comply with the Standard Subcontract Agreements**. This will enable the Commission to conduct penalty point alleviation reviews in a more swiftly and accurately.

< AI-Powered Penalty Point Reduction Review Process >

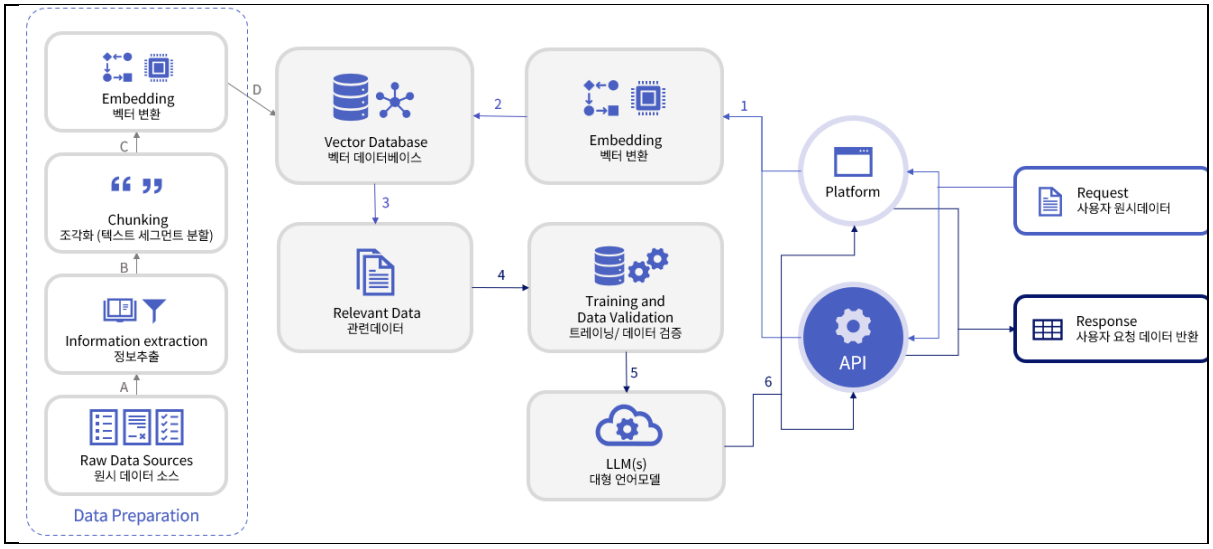
Apply for penalty point reduction → Upload subcontract agreement → AI analysis → Automatic compliance check with Standard Subcontract Agreements → Review penalty point adjustment → Notify review results

Third, to ensure that **institutions as well as small and micro businesses without their own AI infrastructure** can engage in fair subcontracting, the KFTC will develop a system by **opening its AI services** for **shared use**.*

* The Commission will provide open API services, allowing entities to use AI models to prepare subcontract drafts and detect unfair terms in agreements, even without an AI infrastructure.

Furthermore, while operating the platform, the KFTC will concurrently **monitor the quality of AI training data**, **prepare legal and ethical guidelines**, and **manage the security of AI training data and models**, so as to deliver stable and reliable services.

< Diagram of the AI Platform to Support Fair Subcontracts >



Once the "**AI-Based Platform to Support Fair Subcontracting**" is established, prime contractors and subcontractors will be able to **use the AI service** to review and sign fair subcontract agreements. This is expected to help prevent **unnecessary disputes** and **legal violations in advance** and, ultimately, serve as a catalyst for **enhancing fairness and transparency** throughout the subcontracting process.

Additionally, once the AI service **supporting the penalty point mitigation review** is launched, the **time required for adjustments will be significantly reduced**. As the **review process will become more accurate**, **the efficiency and reliability of the penalty point reductions will be further enhanced.**

**The Korean version of this documents is the original; the English version is provided for reference only.*